The Millwall Football and Athletic Company (1985) Limited (Previously The Millwall Football and Athletic Company (1985) PLC)

Annual Report and Financial Statements

Year Ended

30 June 2022

Company Number 01924222

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The Millwall Football and Athletic Company (1985) Limited (Previously The Millwall Football and Athletic Company (1985) PLC)

Company Information

Directors	J Berylson J G Berylson P Garston C Gonticas S A Kavanagh T J Keyse D Kouvaris R S Press M K Sidman
Company secretary	M Fairbrother
Registered number	01924222
Registered office	The Den Zampa Road London SE16 3LN
Independent auditor	BDO LLP 55 Baker Street London W1U 7EU
Bankers	Barclays Bank Plc Corinthian House 17 Lansdowne Road Croydon CR0 2BX
Solicitors	Lewis Silkin Windsor House 5 Chancery Lane Clifford's Inn Passage London EC4A 1BL

The Millwall Football and Athletic Company (1985) Limited (Previously The Millwall Football and Athletic Company (1985) PLC)

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The Millwall Football and Athletic Company (1985) Limited (Previously The Millwall Football and Athletic Company (1985) PLC)

Strategic Report
For the Year Ended 30 June 2022

The directors present their strategic report together with the audited financial statements for the year ended 30 June 2022.

Principal activity

The Company's principal activity is that of a professional football club.

Business review

During the season under review, 2021/22, which was the Club's fifth consecutive season in the Sky Bet Championship ("the Championship"), the second tier of English football. The Club enjoyed a strong season, despite the ongoing challenges of the COVID-19 pandemic, the team secured a 9th place finish with a total of 69 points for the season, which was an increase of 7 points over the previous season. The team were in contention for qualification for the play-offs right up until the last few rounds of the season and represented the third top half finish in a row in what is one of the most competitive leagues in professional football.

The number of senior players in the squad remains at a low number compared to other clubs in the Championship. The total number of players utilised was similar to the previous season, at 26 players (2020/21: 25).

The philosophy of giving homegrown players from the Club's Youth Academy the opportunity to be promoted into the first team continues to pay dividends. Of the 41 current contracted players, some 22 have come through the Club's Youth Academy. During the season, two Academy players made their debut for the senior team and two others appeared on the substitutes' bench. The Club continues to invest in its Youth Academy with a Category 2 status in the Elite Player Performance Plan scheme. More about the importance of the Youth Academy is set out under Prospects below.

A review of the company's financing, property development and regeneration activities is provided later in this report.

Results

The consolidated statement of comprehensive income is set out on page 16.

Revenue for the year at £18.6m (2021 - £12.5m) is an increase of 49.2% (2021 - 24.2% decrease). The increase versus the prior year is largely attributable to the return of more usual business activity following the COVID-19 pandemic that had a material adverse impact on the financial performance in both 2020 and 2021. Although performance was still impacted by restrictions and disruption to the football calendar as a result of the pandemic, as the season evolved there was a return to more usual level of activity, which has continued into the 2022/23 season to date.

Total matchday revenue has increased by 300% year on year from £1.4m in 2020/21 to £5.8m in 2021/22. At the same time other commercial revenue also performed strongly with a 51.9% increase from £2.7m in 2020/21 to £4.1m in 2021/22, Central income has been more consistent with a 3.6% increase year on year. Average league attendance for the year was 12,998, and although slightly down on pre-pandemic levels does demonstrate a strong recovery in what was still an uncertain year for fans and supporters.

Total staff costs of £22.3m represent a 7.1% increase over the prior year (2021 - £20.8m) reflecting the investment both into the playing squad, as well as the football management team that took place during the year. As reported in the previous year, the Club took the decision during the pandemic to continue to invest into the playing squad to allow it to continue to compete within to top half of the EFL Championship. Other expenses have increased significantly year on year in line with the increase in business activity, with the 45.8% increase to £7.0m (2020/21 £4.8m) reflecting the more ordinary levels of business activity.

Results (continued)

With the return of more normalised business operations, this helped to reduce the loss from operations year on year from £13.0m in 2020/21 to £11.8m in 2021/22.

At 30 June 2022, the company had net liabilities of £116.4m (2021 - net liabilities £104.6m).

The directors do not recommend payment of a dividend.

Prospects

Football
The principal objectives of the company continue to be to consolidate the position of the Club as an established member of the Championship over the next few years and to build a squad and infrastructure to advance further in the longer term. The Club is committed to building and progressing year after year, both on and off the pitch.

Prior to the COVID-19 pandemic, the quality and wealth of many of the clubs now playing in the Championship continued to rise, with an increasing number of clubs still in receipt of parachute payments from the Premier League. The impact of this is to increase both the value of transfer fees and player salaries meaning that, despite the investment made by the Club, it continues not to match the level of salary costs of many clubs in the League. Since the onset of the pandemic, significant focus has been made by the EFL to look further at sustainability, including discussions around introduction of salary caps and cost controls. Given the stance of the Club and its Directors, we support all reasonable measures to maintain and reinforce sustainability within professional football and continue to comply with the Profitability & Sustainability Rules of the EFL.

Furthermore during the season the UK Government issued their response to the fan led review of Football Governance which endorsed a number of measures including the establishment of an independent regulator for football as well as looking at the engagement with supporter groups through the establishment of a shadow board and a review of the uneven distribution system through the English football pyramid. As a Club the Directors support the recommendations made in the Government review, and are actively taking steps to adopt some of the measures recommended in advance of any structural change within the football environment.

The Club and Directors strongly support the call by the fan led review and the EFL for a redistribution of income from the Premier League and are firmly of the belief any such redistribution must come with enhanced regulation to ensure such redistribution addresses the unsustainable activities of running and maintaining a club in the Championship.

The Youth Academy continues to be key to the strategy of the Club and your Directors regard this as a vital part of the future success of the Club. Under the direction of Scott Fitzgerald, it has over 160 players signed from the ages of 9 to 23. There are 18 full-time and 40 part-time staff who are responsible for the development of the players which consists of coaching, medical, analysis, sport science, strength and conditioning, nutrition and life skills. The training venue in Eltham has now become established as the home of the Academy with facilities complying with the high standard required by the football authorities.

The Club is required to comply with the Profitability & Sustainability Rules (the Rules) of the EFL applicable to the Championship. In general, these permit a club to incur losses up to £39m over a three-year period before any restrictions may be applied, so long as annual losses in excess of £5m are funded through equity. Currently the Club's level of defined losses is well within this limit, even with the challenges of the COVID-19 pandemic, and its impact on both these financial results, and those of the previous season. Despite this, your Directors are confident that the Club will continue to meet the requirements of the Rules. With these Rules in mind, the Directors have set budgets for all areas of income and costs with plans in place to monitor financial and team performance and to take such steps that are needed to achieve the best outcome for the year. The Directors are aware of ongoing issues in respect of Profit and Sustainability rules compliance by other clubs that have been in the press. Your Directors are committed to the current rules and ensuring they are complied with fully and fairly by all Championship clubs to provide all clubs with a sustainable future.

The team has started the 2022/23 season with the form that it ended the previous season. It has gained 31 points in the first 20 games up to the end of November, placing the team in 6th position.

Other football related income
Despite the financially challenging couple of years as a result of the pandemic, the Club was able to maintain a number of its key partnerships and sponsorships, including Huski Chocolate as the principal partner, as well as adding and retaining a number of other key partners during the financial year. The Directors would like to express their thanks and gratitude to all the Club's partners for their help and support over the year.

The Den
Other incomes from the utilisation of the stadium on non-matchdays had been significantly impacted by the current pandemic, and the return to normal levels of activities has been slower to materialise in this area. External usage of the stadium was lower during the year, than pre pandemic levels, partly driven by some ongoing restrictions, as well as a general reluctance to return to ordinary activity during the earlier stages of the financial year.

Despite the challenges of COVID-19, the Directors approved the installation of a new pitch at The Den, for which work commenced in May 2022 and was completed during the year. This represents a significant investment in property, plant and equipment over the two financial years. The previous playing surface at the stadium was beyond the end of its useful life, however with the new pitch surface, this should allow for a better, more durable and more consistent playing surface for future years.

The Community
The Club continues to recognise the importance of the relationship with the diverse communities of South London and actively supports the work of Millwall Community Trust (MCT). The Club's commitment is reflected by two directors, Steve Kavanagh and Peter Garston, together with the Company' finance director, Mark Fairbrother and Commercial Director, Stuart Lock, acting as Trustees. The strength and depth of the relationship is also demonstrated both by financial support and by making Club facilities, resources (HR, finance department) assets and players available for the activities undertaken by MCT. The Club is rightly proud of its Community Trust and the incredible work it does, embedded within our local communities with the boroughs of Southwark and Lewisham.

The MCT vision is to use the unique passion generated at Millwall to connect and inspire the Club's communities. This is achieved by using the inspiration of the Millwall spirit to improve the lives of people through engagement in sport, Education, health, and social cohesion. MCT delivers a vary of schools provision and sports participation programmes and also makes a significant contribution to community development, health improvement, education and employability, as well as managing facilities such as the Lions Centre and St Paul's Community Sports Ground for the benefit of the community.

The Trust aims to create a sustainable year-round community sport offering for the residents of Southwark and Lewisham. In 2022 -23 over twelve thousand residents have been engaged and benefited by using the services provided by MCT, with support from the Club.

The Trust has a strategy of encouraging sports participation through positive partnerships. It is affiliated to The English Football League Trust (EFL) and the Premier League (PL). It has contracts with Housing Associations across the London Boroughs of Southwark and Lewisham, and delivers PL KICKS at a number of estate-based venues, supported by the Metropolitan Police and the Premier League Charitable Foundation. This year has seen the further appointment of a second Divert officer (independent of police adviser) funded by the home office, to work with young people that are in the risk of gang activities within the London Boroughs of Southwark and Lewisham.

With funding from the government pupil premium funding scheme, MCT was able to deliver various projects around healthy lifestyle, physical education, and cookery lessons in a number of local schools and the projects has become a key intervention within the school environment. MCT is currently delivering multi- sport provision in approximately 32 schools per week.

MCT has continued to deliver and develop further a number of acclaimed programmes for some of the more vulnerable people within our communities. Under the health improvement banner, MCT has continued its highly successful Walking Sports for Older People with dementia, or other life-limiting conditions, with excellent engagement numbers. Male adult health programme (MAN V FAT) has been development with over 70 adults attending weekly physical and educational sessions on lifestyle change. MCT has expanded its Employability offer, working with DWP on the "Kick Start" programme, with 23 young people employed by MCT and the club, receiving 6 months of sports industry work experience.

The education strand has seen the Trust working with young people that have been subject to exclusion from the education system. Work is undertaken supporting these young people, with qualifications, work placements and help into further education.

MCT runs a college POST 16 education and football programme out of the Lions Centre, with 50 students attending daily, combining education with football coaching. The students over the year will study for BTEC level 3 in sports coaching qualification and from this programme some of these students will gain employment with MCT, or move on to university or employment apprenticeships.

MCT has developed a relationship with Lewisham College to host a media college at the stadium, part of the year course is work experience shadowing the club's media team.

MCT is now registered with the London Football Association to operate Millwall Lionesses football team. This football team plays in the South east Women's League (level 5), playing at St Paul's Sport Ground and, together with female youth football teams at U12, U14, and U18 level also operated by MCT, this provides young women and girls in the area the opportunity to play competitive football.

MCT receive local Government funding to deliver FREE of charge sports and food activity school holiday camps (HAF) during the 13 weeks of school holidays. These camps are providing provision and meals for low income families and children on free schools meals, also addressing the rise of cost of living agenda.

MCT run and support their own LGBTQ+ football teams, Millwall Romans and Millwall Pride, with a membership of 40 players.

Communication
The Club regards communication with all supporters, business partners and staff as being of central importance. Given the impact of the pandemic over the past few seasons, communication with our stakeholders is more important than ever, and the Club have initiated regular meetings and forums with various supporter groups and partners.

Finance
The Company, via its immediate parent, continues to be funded by its ultimate shareholder, Chestnut Hill Ventures LLC ("CHV") and by its Directors. The existing facility provided to Millwall Holdings Limited is £20m (CHV Facility) with £10m outstanding at the year end. Additional funding requirements during the year have been met by CHV and certain directors subscribing for new B ordinary shares of £1 each at par. During the year 13,050,000 B ordinary shares were issued for cash raising £13.05m of funds for the Company.

The CHV Facility and the £525,000 2013 Unsecured Loan Notes (Loan Notes), held by Directors and their associates, were repayable on 1 July 2022. CHV and the Loan Notes holders had agreed that no interest would accrue in respect of the CHV Facility and Loan Notes until 30 June 2022. By an agreement dated 2 June 2022, CHV extended the suspension of interest until 1 July 2023 (when interest will begin to accrue again unless CHV agrees otherwise). The other Loan Notes holders have agreed that no interest will accrue on the Loan Notes until the date on which the Company and CHV agree that interest will begin to accrue again in respect of the CHV Facility. The repayment date of the CHV Facility and other Loan Notes was also extended to 1 July 2024.

The directors are of the view that, together with the further arrangements referred to in note 1 to the financial statements, ongoing equity investment and extended loan facilities from CHV and the directors as well as the cost management procedures undertaken previously as a response to COVID-19, provides the Company with sufficient access to working capital to fund the operations of the Company over the next few years.

Regeneration
As reported last year, following years of disputes with Lewisham Council and Renewal, the developer of the adjacent site, there had been a number of constructive meetings with the new mayor, Damien Egan, and his senior planning officers.

The Company had been told that the threat of having any part of the lands occupied by the Club or the community scheme being compulsorily acquired by the Council and handed to Renewal has been lifted; indeed, Renewal has confirmed that it no longer has any ambition to develop any part of that land. Prior to the pandemic, at a meeting attended by the new mayor, his Head of Planning and your Chairman, it was agreed in principle that a new lease of all the land occupied by the Club and MCT would be granted with a term of not less than 250 years and containing provisions allowing the redevelopment to be carried out and then used for the purposes that it was intended. This resulted in the conditional land sale agreement being terminated in February 2021.

With the termination of the conditional land sale, this opens the way for an urban regeneration project that can transform for the good of this community. As a Club we look forward to now agreeing the new lease with Lewisham Council which will enable us to put into action the new plans for the Club, The Den and the adjourning land, as well as the Millwall Community Trust, which will not only be of benefit to the Club, but also to the wider community. With the COVID-19 pandemic, this has significantly slowed progress on these negotiations, with little progress to show during the financial year. Discussions have recommenced in recent times, however at the time of writing this progress is frustratingly slow. Given the shared goal of all parties for this regeneration, it is hoped that further construction dialogue will allow for Lewisham Council to progress on these discussions with the Club.

The architects appointed by the Company have come up with an excellent scheme to redevelop and regenerate the land around the Den which satisfied all the Club's aspirations, in particular to bring the stadium and its facilities capable of meeting premier league standards. The scheme provides for the expansion of the stadium itself, significantly increased media facilities, improved hospitality services, a new centre for Millwall Community Trust within the stadium, protection of our Youth Academy's status, and a hotel and conference centre. The architects are also developing proposals for creating an open plaza in front of the stadium which can become an attractive focal point for the local community together with a significant number of new homes, affordable housing and associated commercial opportunities. Early draft images were released in March 2020, and were warmly received, and now gives the Club the opportunity to plan for the future, but to build facilities to match the aspirations of the Club to compete at the highest level.

Training Ground
During the year, the club purchased a 100 acre site in West Kingsdown in Kent, with the intention of using this to develop a new training facility and amalgamate the first team and academy operations into one site. Both operations currently run in different leasehold training complexes in South East London which provides both a significant financial cost through the rent costs as well as the logistical issues of operating in different locations. As part of the land purchase, the Club engaged with a number of partners to progress with the pre planning application. On 7 July 2022 the Club announced that the formal application for full planning permission was submitted to Sevenoaks borough council for their consideration, and on 20 October 2022 the council planning committee have recommended the plans for approval.

Principal risks and uncertainties

In common with many football clubs outside the FA Premier League the main business risk is the maintenance of a positive cash flow, bearing in mind the uncertainty of turnover and the high cost of maintaining a playing squad on which the success of the company's business is largely dependent. In order to achieve a positive cash flow there is the constant requirement to raise new finance and refinance existing facilities which, in turn, requires the continuing support of existing providers of those facilities.

A significant amount of the Club's revenue derives from ticket sales. Income generated from gate receipts is highly dependent on the level of attendance at matches. The current COVID-19 pandemic has highlighted the reliance of all football clubs on matchday revenue, and also cost control measures can and have been implemented, these cannot mitigate the lost income seen at present.

Some income streams of the Club (such as television rights and related income) are dependent on third party contracts and arrangements to which the Club is not a party and over which the Club can exercise no or little influence.

As part of its normal activities, the Club deals in the trading of player registrations and there is always a risk of significant and lasting injuries to players that may impair player values. Players aged 24 years or older are free to move between clubs once their contract has come to an end and directors monitor expiry dates carefully with a view to renewing contracts or realising value.

Relevant business risks are discussed during Board meetings so that, where a material exposure is identified, mitigating action can be taken.

Post Balance Sheet Events

Following a shareholder general meeting on 23 June 2022, the shareholders approved the resolution to reregister the Company as a private limited company. The Company name was changed to The Millwall Football and Athletic Company (1985) Limited, and new articles of association were agreed at that time.

Going concern

The Board has considered the adoption of the going concern basis of preparation of the financial statements and the facilities currently available to the Group, as mentioned in note 1, and has concluded that the basis has been appropriately adopted in the preparation of these accounts.

There is a £20m facility in place from CHV to Millwall Holdings Limited, the company's immediate parent, that was drawn to £10m as at the year end, which does not fall due for repayment until 1 July 2024. Your Directors believe this, in conjunction with the ongoing support of the Group's principal shareholder, provides sufficient working capital for the current needs of the Group and Company for the foreseeable future.

However, forecasts prepared for and reviewed by the board demonstrate that in most reasonable scenarios additional shareholder funding will be required which is not yet guaranteed. As such, the directors have identified a material uncertainty that may cast significant doubt over the Company's and the Group's ability to continue as a going concern for the foreseeable future.

The Board would like to thank players, management and staff for their continued hard work during the past year. The support of shareholders, fans and everyone connected with the Club has, as ever, been tremendous and to all of them and more so during these times, the Board extends its thanks.

On behalf of the board

S A Kavanagh
Director
20 December 2022

The Millwall Football and Athletic Company (1985) Limited (Previously The Millwall Football and Athletic Company (1985) PLC)

Directors' Report
For the Year Ended 30 June 2022

The directors present their report together with the audited financial statements for the year ended 30 June 2022.

The company changed its registration on 5 August 2022 from The Millwall Football and Athletic Company (1985) PLC to The Millwall Football and Athletic Company (1985) Limited.

Results and dividends

The loss for the year, after taxation, amounted to £11,851,000 (2021 - loss £12,994,000).

Directors

The directors who served during the year were:

J Berylson
J G Berylson
P Garston
C Gonticas
S A Kavanagh
T J Keyse
D Kouvaris
R S Press

The following director was appointed after the year end:

M K Sidman (appointed 2 September 2022)

Political and charitable donations
During the year, the company made a contribution to a charity of £Nil (2021 - £Nil). Refer to page 3 for community activities. The company made no political donations.

Market value of land and buildings
Given the specialised nature of the company's property interests, the directors do not consider that, without incurring the expense of a specialist third party professional valuer, there is a readily ascertainable market value for the company's properties, which are carried in the accounts at cost less depreciation. However, given the typical valuation methodology for valuation of a football stadium would be depreciated replacement cost, based on the information available to the directors, they do not believe there to be any indication of impairment to the carrying value.

Payment of creditors
The company's policy is to settle agreed amounts outstanding to creditors within sixty days. This policy is made known to staff who handle payments to suppliers and is made known to suppliers on request. The company's trade creditors at 30 June 2022 represented X days purchase (2021 - 87 days).

Employee involvement
The company operates employment policies, which place emphasis upon employee involvement where possible. The company practices equality of employment opportunity irrespective of sex, race, colour, marital status or ethnic or national origins. It is the company's policy to offer equal opportunity to disabled persons wherever appropriate, having regard to their aptitudes and abilities.

Other disclosures
Disclosure of exposure to financial risks, post balance sheet events and future developments are included in the strategic report on pages 1 to 7.

Disclosure of information to auditor

Each of the persons who are directors at the time when this directors' report is approved has confirmed that:

- so far as the director is aware, there is no relevant audit information of which the company's auditor is unaware; and
- the director has taken all the steps that ought to have been taken as a director in order to be aware of any relevant audit information and to establish that the company's auditor is aware of that information.

Auditor

The auditor, BDO LLP, was appointed during the year and will be proposed for reappointment in accordance with section 485 of the Companies Act 2006.

This report was approved by the board on 20 December 2022 and signed on its behalf.

S A Kavanagh
Director

The Millwall Football and Athletic Company (1985) Limited (Previously The Millwall Football and Athletic Company (1985) PLC)

Directors' Responsibilities Statement
For the Year Ended 30 June 2022

The directors are responsible for preparing the strategic report, the directors' report and the financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare financial statements for each financial year. Under that law the directors have elected to prepare the financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards and applicable law). Under company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the company and of the profit or loss of the company for that period.

In preparing these financial statements, the directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and accounting estimates that are reasonable and prudent;
- state whether applicable UK Accounting Standards have been followed, subject to any material departures disclosed and explained in the financial statements; and
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the company will continue in business.

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the company's transactions and disclose with reasonable accuracy at any time the financial position of the company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are also responsible for safeguarding the assets of the company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

The Millwall Football and Athletic Company (1985) Limited (Previously The Millwall Football and Athletic Company (1985) PLC)

Independent Auditor's Report to the Members of The Millwall Football and Athletic Company (1985) Limited (Previously The Millwall Football and Athletic Company (1985) PLC)

Opinion on the financial statements

In our opinion the financial statements:

- give a true and fair view of the state of the company's affairs as at 30 June 2022 and of its loss for the year then ended;
- have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice; and
- the financial statements have been prepared in accordance with the requirements of the Companies Act 2006.

We have audited the financial statements of The Millwall Football and Athletic Company (1985) Limited (Previously The Football and Athletic Company (1985) PLC) (the 'company') which comprise the statement of comprehensive income, the statement of financial position, the statement of changes in equity and notes to the financial statements, including a summary of significant accounting policies. The financial reporting framework that has been applied in their preparation is applicable law and United Kingdom Accounting Standards, including Financial Reporting Standard 102 The Financial Reporting Standard applicable in the UK and Republic of Ireland (United Kingdom Generally Accepted Accounting Practice).

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) (ISAs (UK)) and applicable law. Our responsibilities under those standards are further described in the Auditor's responsibilities for the audit of the financial statements section of our report. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Independence

We are independent of the company in accordance with the ethical requirements that are relevant to our audit of the financial statements in the UK, including the FRC's Ethical Standard, and we have fulfilled our other ethical responsibilities in accordance with these requirements.

Material uncertainty relating to going concern

We draw attention to note 2 to the Company financial statements which describes how the ability of the Company to continue as a going concern is dependent on additional funding from the shareholder that is not guaranteed. As stated in Note 2, these events or conditions indicate that a material uncertainty exists that may cast significant doubt on the Company's ability to continue as a going concern. Our opinion is not modified in respect of this matter.

In auditing the financial statements, we have concluded that the directors' use of the going concern basis of accounting in the preparation of the financial statements is appropriate.

Our responsibilities and the responsibilities of the directors with respect to going concern are described in the relevant sections of this report.

Other information

The directors are responsible for the other information. The other information comprises the information included in the annual report other than the financial statements and our auditor's report thereon. Our opinion on the financial statements does not cover the other information and, except to the extent otherwise explicitly stated in our report, we do not express any form of assurance conclusion thereon.

Our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the course of the audit, or otherwise appears to be materially misstated. If we identify such material inconsistencies or apparent material misstatements, we are required to determine whether this gives rise to a material misstatement in the financial statements themselves. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact.

We have nothing to report in this regard.

Other Companies Act 2006 reporting

In our opinion, based on the work undertaken in the course of the audit:

- the information given in the strategic report and directors' report for the financial year for which the financial statements are prepared is consistent with the financial statements; and
- the strategic report and directors' report have been prepared in accordance with applicable legal requirements.

In the light of the knowledge and understanding of the company and its environment obtained in the course of the audit, we have not identified material misstatements in the strategic report or the directors' report.

Other Companies Act 2006 reporting (continued)

We have nothing to report in respect of the following matters in relation to which the Companies Act 2006 requires us to report to you if, in our opinion:

- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us; or
- the financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

Responsibilities of directors

As explained more fully in the directors' responsibilities statement, the directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view, and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the directors are responsible for assessing the company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the company or to cease operations, or have no realistic alternative but to do so.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

Extent to which the audit was capable of detecting irregularities, including fraud

Irregularities, including fraud, are instances of non-compliance with laws and regulations. We design procedures in line with our responsibilities, outlined above, to detect material misstatements in respect of irregularities, including fraud. The extent to which our procedures are capable of detecting irregularities, including fraud is detailed below:

Based on our understanding and accumulated knowledge of the company and the sector in which it operates we considered the risks of acts by the company which were contrary to applicable laws and regulations, including fraud, and whether such actions or non-compliance might have a material effect on the financial statements. These included but are not limited to those that relate to the form and content of the financial statements, such as accounting policies applied, the Companies Act 2006, relevant taxation legislation, Health and Safety and the Bribery Act 2010.

We determined that the principle risk were related to inappropriate journals entries, management bias in accounting estimates and revenue recognition. Our audit procedures included but were not limited to:

- Agreement of the financial statement disclosures to underlying supporting documentation;
- Challenging assumptions and judgements made by management in their significant accounting estimates, in particular those relating to the carrying value of player registrations including discounting of payables and receivables and potential impairments;
- Identifying and testing manual journal entries, in particular journal entries posted to revenue and journals with unusual account combinations;
- Testing a sample of revenue transactions to signed contracts and other third party documentation to ensure they are recorded to appropriate amounts and in the correct period;
- Discussion held with management and those charged with governance, including consideration of known or suspected instances of non-compliance with laws and regulations and fraud;
- Review of minutes of board meetings from throughout the year as well as a review of internal audit reports; or
- Obtaining an understanding of the control environment in monitoring compliance with laws and regulations

Our audit procedures were designed to respond to risks of material misstatement in the financial statements, recognising that the risk of not detecting a material misstatement due to fraud is higher than the risk of not detecting one resulting from error, as fraud may involve deliberate concealment by, for example, forgery, misrepresentations or through collusion. There are inherent limitations in the audit procedures performed and the further removed non-compliance with laws and regulations is from the events and transactions reflected in the financial statements, the less likely we are to become aware of it.

A further description of our responsibilities is available on the Financial Reporting Council's website at: https://www.frc.org.uk/auditorsresponsibilities. This description forms part of our auditor's report.

Use of our report

This report is made solely to the company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the company and the company's members as a body, for our audit work, for this report, or for the opinions we have formed.

DocuSigned by:
Ian Clayden
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Ian Clayden (Senior Statutory Auditor)
For and on behalf of BDO LLP, Statutory Auditor
London
United Kingdom

21 December 2022

BDO LLP is a limited liability partnership registered in England and Wales (with registered number OC305127).

The Millwall Football and Athletic Company (1985) Limited (Previously The Millwall Football and Athletic Company (1985) PLC)

Statement of Comprehensive Income
For the Year Ended 30 June 2022

	Note	2022 £000	2021 £000
Turnover	4	**18,593**	12,457
Staff costs	7	**(22,315)**	(20,835)
Amortisation of player's registrations		**(1,771)**	(2,138)
Depreciation	11	**(546)**	(411)
Other operating income	5	**1,327**	2,074
(Loss)/profit on disposal of players' registrations		**(106)**	665
Other administrative expenses		**(7,002)**	(4,793)
Operating loss	6	**(11,820)**	(12,981)
Interest receivable and similar income		**-**	48
Interest payable and similar expenses		**(31)**	(61)
Loss before tax		**(11,851)**	(12,994)
Tax on loss	9	**-**	-
Loss for the financial year		**(11,851)**	(12,994)
Other comprehensive income		**-**	-
Total comprehensive income for the year		**(11,851)**	(12,994)

All amounts relate to continuing activities.

There were no recognised gains and losses for 2022 or 2021 other than those included in the statement of comprehensive income.

The notes on pages 19 to 36 form part of these financial statements.

The Millwall Football and Athletic Company (1985) Limited (Previously The Millwall Football and Athletic Company (1985) PLC)

Registered number: 01924222

Statement of Financial Position
As at 30 June 2022

	Note	2022 £000	2022 £000	2021 £000	2021 £000
Fixed assets					
Intangible assets	10		**2,125**		2,329
Tangible assets	11		**16,052**		15,040
			18,177		17,369
Current assets					
Stocks	12	**47**		80	
Debtors: amounts falling due within one year	13	**1,817**		2,127	
Cash at bank and in hand		**158**		1,323	
		2,022		3,530	
Creditors: amounts falling due within one year	14	**(131,421)**		(118,325)	
Net current liabilities			**(129,399)**		(114,795)
Total assets less current liabilities			**(111,222)**		(97,426)
Creditors: amounts falling due after more than one year	15		**(5,227)**		(7,172)
Net liabilities			**(116,449)**		(104,598)
Capital and reserves					
Called up share capital	19		**400**		400
Share premium account	20		**3**		3
Profit and loss account	20		**(116,852)**		(105,001)
Total equity attributable to the shareholders of the company			**(116,449)**		(104,598)

The financial statements were approved and authorised for issue by the board and were signed on its behalf on 20 December 2022

S A Kavanagh
Director

The notes on pages 19 to 36 form part of these financial statements.

The Millwall Football and Athletic Company (1985) Limited (Previously The Millwall Football and Athletic Company (1985) PLC)

Statement of Changes in Equity
For the Year Ended 30 June 2022

	Called up share capital	Share premium account	Profit and loss account	Total equity
	£000	£000	£000	£000
At 1 July 2021	400	3	(105,001)	(104,598)
Comprehensive loss for the year				
Loss for the year	-	-	(11,851)	(11,851)
At 30 June 2022	400	3	(116,852)	(116,449)

Statement of Changes in Equity
For the Year Ended 30 June 2021

	Called up share capital	Share premium account	Profit and loss account	Total equity
	£000	£000	£000	£000
At 1 July 2020	400	3	(92,007)	(91,604)
Comprehensive income for the year				
Loss for the year	-	-	(12,994)	(12,994)
At 30 June 2021	400	3	(105,001)	(104,598)

The notes on pages 19 to 36 form part of these financial statements.

1. General information

The Millwall Football and Athletic Company (1985) Limited (Previously The Millwall Football and Athletic Company (1985) PLC) is a private company limited by shares and incorporated in England and Wales under the Companies Act 2006. The address of the registered office is given on the company information page and the nature of the company's operations and its principal activities are set out in the strategic report.

2. Accounting policies

2.1 Basis of preparation of financial statements

The financial statements have been prepared under the historical cost convention unless otherwise specified within these accounting policies and in accordance with Financial Reporting Standard 102, the Financial Reporting Standard applicable in the UK and the Republic of Ireland and the Companies Act 2006.

The preparation of financial statements in compliance with FRS 102 requires the use of certain critical accounting estimates. It also requires management to exercise judgement in applying the company's accounting policies (see note 3).

The presentational and functional currency of these financial statements is GBP. Values are rounded to the nearest £'000.

The following principal accounting policies have been applied:

2.2 Financial Reporting Standard 102 - reduced disclosure exemptions

The Company has taken advantage of the following disclosure exemptions in preparing these financial statements, as permitted by the FRS 102 "The Financial Reporting Standard applicable in the UK and Republic of Ireland":

- the requirements of Section 7 Statement of Cash Flows;
- the requirements of Section 3 Financial Statement Presentation paragraph 3.17(d);
- the requirements of Section 11 Financial Instruments paragraphs 11.42, 11.44 to 11.45, 11.47, 11.48(a)(iii), 11.48(a)(iv), 11.48(b) and 11.48(c);
- the requirements of Section 12 Other Financial Instruments paragraphs 12.26 to 12.27, 12.29(a), 12.29(b) and 12.29A;
- the requirements of Section 26 Share-based Payment paragraphs 26.18(b), 26.19 to 26.21 and 26.23;
- the requirements of Section 33 Related Party Disclosures paragraph 33.7.

This information is included in the consolidated financial statements of Millwall Holdings Limited as at 30 June 2022 and these financial statements may be obtained from the Registrar of Companies Registration Office, Crown Way, Cardiff CF4 3UZ.

2.3 Going concern

In assessing the appropriateness of the going concern assumption, the Directors have produced detailed cash flow forecasts which until 31 December 2023. As noted in previous years, business performance has been severely disrupted due to the COVID-19 pandemic, which had a material impact on income since March 2020.

2. Accounting policies (continued)

2.3 Going concern (continued)

For 2021/22 financial results, although this was the first season with a return of matchday activities and full crowds, given the lateness of relaxation of restrictions, as well as fixture disruption during the season, this did continue to have an impact on the financial results, albeit less significant than in previous years.

The director's have continued to undertake a range of measures to ensure a prudent running of the organisation. There is a £20m facility in place with the parent company, Millwall Holdings Limited from CHV that was drawn to £10m as at the year end, which does not fall due for repayment until 1 July 2024. The Directors believe this, in conjunction with the ongoing support of the Company's principal shareholder, provides sufficient working capital for the current needs of the Group and Company for the foreseeable future.

Furthermore during the season the UK Government issued their response to the fan led review of Football Governance which endorsed a number of measures including the establishment of an independent regulator for football as well as looking at the engagement with supporter groups through the establishment of a shadow board and a review of the uneven distribution system through the English football pyramid. As a Club the Directors support the recommendations made in the Government review, and are actively taking steps to adopt some of the measures recommended in advance of any structural change within the football environment.

The Club and Directors strongly support the call by the fan led review and the EFL for a redistribution of income from the Premier League and are firmly of the belief any such redistribution must come with enhanced regulation to ensure such redistribution addresses the unsustainable activities of running and maintaining a club in the Championship.

At 30 June 2022, the Company had net liabilities of £116.4 million and net current liabilities of £129.3 million.

The directors continually monitor the financial position of the company and have prepared the financial statements on a going concern basis, having had regard to:

- cash flow projections prepared to 30 June 2023, and expected cash flow forecasts for the year thereafter i.e. 31 December 2023, including the effect of player trading; and

- the continuing provision of facilities to the wider group from Chestnut Hill Ventures LLC ("CHV"), a company controlled by the Chairman, John G Berylson. The repayment date on the existing £10 million loan facility was extended during the year to 1 July 2024, with interest accruing only from 1 July 2023. CHV has also undertaken to provide the wider group with further support, if necessary, for at least the next 12 months, as it has done during the current and previous financial years. However the receipt of this further support is not guaranteed.

However, forecasts prepared for and reviewed by the board demonstrate that in most reasonable scenarios, the Company and Group will continue to make operating losses and additional shareholder funding will be required which is not yet guaranteed. As such, the directors have identified a material uncertainty that may cast significant doubt over the Company's and the Group's ability to continue as a going concern and therefore its ability to realise its assets and discharge its liabilities in the normal course of business.

2. Accounting policies (continued)

2.3 Going concern (continued)

While there will always remain inherent uncertainty, the directors remain confident that they will be able to manage the Company's finances and operations so as to achieve the forecasted cash flows and, with the continued support of CHV, consider that it is appropriate to draw up the financial statements on a going concern basis.

The financial statements do not include any adjustments that would result if the going concern basis of preparation were to become no longer appropriate.

2.4 Turnover

Turnover represents income receivable from the company's principal activities excluding transfer fees and value added tax.

Turnover is analysed between three categories of income streams: Match Day, Central League Awards and Commercial.

Match Day
Match Day turnover represents income receivable from all match day activities from Millwall games at The Den, together with the share of gate receipts from cup games not played at The Den. The share of gate receipts payable to the other participating club for domestic cup matches played at The Den is treated as a reduction in turnover. Season ticket revenue is recognised over the period of the football season as home matches are played.

Central League Awards
Central League Award revenue comprises the Basic Award and the Solidarity Award from the Football League, along with grant income for the Academy, prize money earned from cup competitions. Awards are recognised over the financial period to which they relate once recovery is considered probable and the revenue can be measured reliably.

Commercial
Commercial revenue comprises income receivable through sponsorship, shop revenue, use of the conference and catering facilities at The Den on non-match days and sundry other income. Sponsorship contracts are recognised over the duration of the contract, either on a straight line basis, or over the period of the football season, as appropriate based on the terms of the contract. Catering revenues are recognised on an earned basis. Revenue from sale of branded products is recognised at the point of dispatch when significant risks and rewards of ownership is deemed to have been transferred to the buyer.

2.5 Deferred income

All income received in advance of football activities, such as season ticket revenue, league awards, advertising, sponsorship and broadcasting revenues are treated as deferred income and released to income over the period or number of matches to which they relate.

2.6 Tangible fixed assets

Tangible fixed assets under the cost model are stated at historical cost less accumulated depreciation and any accumulated impairment losses. Historical cost includes expenditure that is directly attributable to bringing the asset to the location and condition necessary for it to be capable of operating in the manner intended by management.

2. Accounting policies (continued)

2.6 Tangible fixed assets (continued)

Depreciation is provided on the following basis:

Long leasehold premises	- 1% per annum
Fixtures and fittings	- 10%-33% per annum
Pitch renovation	- over the next season
Motor vehicles	- 25% per annum
Leasehold improvement	- Over the life of the lease

Residual value is initially calculated on prices prevailing at the date of acquisition. Residual value is reviewed in each financial period and any changes to initial estimates are reflected in the period of change.

When a significant part of property, plant and equipment is required to be replaced at intervals, the group derecognises the replaced part, and recognises the new part with its own associated useful life and depreciation. Likewise, when a major inspection is performed, its cost is recognised in the carrying amount of the plant and equipment as a replacement if the recognition criteria are satisfied. All other repair and maintenance costs are recognised in the income statement as incurred.

2.7 Impairment of non-financial assets (excluding inventories)

Non-financial assets are subject to impairment tests whenever events or changes in circumstances indicate that their carrying amount may not be recoverable. Where the carrying value of an asset exceeds its recoverable amount (i.e. the higher of value in use and fair value less costs to sell), the asset is written down accordingly.

Impairment charges are included in the other expenses line item in the statement of comprehensive income.

2.8 Stocks

Stocks are stated at the lower of cost and net realisable value. Net realisable value is based on estimated selling price, less further costs expected to be incurred to disposal. Provision is made for obsolete, slow-moving or defective items where appropriate.

2.9 Debtors

Short term debtors are measured at transaction price, less any impairment. Loans receivable are measured initially at fair value, net of transaction costs, and are measured subsequently at amortised cost using the effective interest method, less any impairment.

2.10 Cash and cash equivalents

Cash is represented by cash in hand and deposits with financial institutions repayable without penalty on notice of not more than 24 hours. Cash equivalents are highly liquid investments that mature in no more than three months from the date of acquisition and that are readily convertible to known amounts of cash with insignificant risk of change in value.

2. Accounting policies (continued)

2.11 Creditors

Short term creditors are measured at the transaction price. Other financial liabilities, including bank loans, are measured initially at fair value, net of transaction costs, and are measured subsequently at amortised cost using the effective interest method.

2.12 Pension costs and other post retirement benefits

For defined contributions schemes, the amount charged to the statement of comprehensive income in respect of pension costs is the contributions payable in the year. Differences between contributions payable in the year and contributions actually paid are shown as either accruals or prepayments in the statement of financial position.

Where the company participates in a defined benefit plan, which is a multi-employer plan that is accounted for as if the plan were a defined contribution plan, and the company has entered into an agreement with the multi-employer plan that determines how the company will fund a deficit, the company recognises a liability for the contributions payable that arise from the agreement and a resulting expense in the statement of comprehensive income.

2.13 Leases

Assets held under finance leases, which confer rights and obligations similar to those attached to owned assets, are capitalised as tangible fixed assets and are depreciated over the shorter of the lease terms and their useful lives. The capital elements of the future lease obligations are recorded as liabilities, while the interest elements are charged to profit and loss over the period of the leases to produce a constant rate of charge on the balance of capital repayments outstanding. Hire purchase transactions are dealt with similarly, except that assets are depreciated over their useful lives.

Rentals under operating leases are charged on a straight-line basis over the lease term, even if the payments are not made on such a basis. Benefits received and receivable as an incentive to sign an operating lease are similarly spread on a straight line basis over the lease term. Lease incentives on leases entered into before the date of transition to FRS 102 (1 July 2014) continue to be charged over the shorter period to the first market rent review rather than the term of the lease.

2.14 Grants

Grants relating to tangible fixed assets are treated as deferred income and released to the statement of comprehensive income over the expected useful lives of the assets concerned. Other grants, including those received under the UK Government's Coronavirus Job Retention Scheme ('furlough'), are credited to profit and loss as the related expenditure is incurred.

2.15 Players' registrations

The costs associated with the acquisition of players' registrations are initially recorded at fair value of the consideration payable at the date of acquisition as intangible fixed assets. These costs are fully amortised over the period of the respective players' contracts.

2. Accounting policies (continued)

For the purposes of impairment reviews, acquired players' registrations are classified within the single football club cash-generating unit until the point at which it is made clear that the player is no longer an active member of the playing squad which is typically because either the player is out of favour with the team, or the player is permanently injured. In these circumstances the carrying value of the player's registration is reviewed against market value less costs to sell and impaired to the extent that the carrying value exceeds this net realisable value.
In situations where a player is permanently injured, fair value is considered to be expected insurance recovery amount.

2.16 *Signing on fees*

Signing on fees are charged, on a straight line basis, to the statement of comprehensive income over the period of the player's contract. Prepayments/accruals arising at each period end are included within prepayments and accrued income or accruals within current assets or current liabilities, as appropriate. Where a player's registration is transferred, any signing on fee payable in respect of future periods are charged against the profit/(loss) on disposal of players' registrations in the period in which the disposal is recognised.

2.17 Transfer fees

Transfer fees receivable are recognised in the period in which the registration is transferred and any profit or loss arising is dealt with in the statement of comprehensive income. Contingent transfer fees receivable are recognised once the contingent conditions become probable which is usually when they have been met.

2.18 Taxation and deferred tax

Corporation tax payable is provided on taxable profits at the current rate.

Deferred tax balances are recognised in respect of all timing differences that have originated but not reversed by the balance sheet date except that the recognition of deferred tax assets is limited to the extent that the company anticipates to make sufficient taxable profits in the future to absorb the reversal of the underlying timing differences.

Deferred tax balances are not discounted.

3. Judgements in applying accounting policies and key sources of estimation uncertainty

In the application of the company's accounting policies, which are described above and on the previous page, the directors are required to make judgements, estimates and assumptions about the carrying amounts of assets and liabilities that are not readily apparent from other sources. The estimates and associated assumptions are based on historical experience and other factors that are considered to be relevant. Actual results may differ from these estimates.

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised if the revision affects only that period, or in the period of the revision and future periods if the revisions affects both the current and future periods.

3. Judgements in applying accounting policies (continued)

In preparing these financial statements, the directors have made the following judgements:

- Useful lives of intangible assets

  Intangible assets are amortised over the length of the players' contract which is deemed to be their useful lives and management's estimates as to their continuing usefulness to the football side.

- Useful lives and residual values of property, plant and equipment

  Property, plant and equipment are depreciated to their residual values over their useful lives. Useful lives are based on estimates of the period that the assets will generate revenue, which are periodically reviewed for continued appropriateness.

4. Turnover

An analysis of turnover by class of business is as follows:

	2022 £000	2021 £000
Match Day	**5,786**	1,445
Central League Awards	**9,142**	8,360
Commercial	**3,665**	2,652
	18,593	12,457

All turnover arose within the United Kingdom.

5. Other operating income

	2022 £000	2021 £000
Loan fee income	**340**	192
Furlough income	**37**	1,447
Donations	**-**	324
Other claims and settlement income	**950**	111
	1,327	2,074

6. Operating (loss)/profit

The operating (loss)/profit is stated after charging/(crediting):

	2022 £000	2021 £000
Depreciation of tangible fixed assets - owned assets	546	410
Amortisation of grant	(81)	(81)
Amortisation of proceeds on sale of training ground (note 16)	(63)	(63)
Operating lease rentals - land and buildings	330	286
Operating lease rentals - other	46	49
Auditors remuneration		
- audit of company financial statements	62	46
- taxation services	-	11
- other services	5	2
Amortisation of players' registrations	1,771	2,138
Loss/(profit) on sale of player's registrations	106	(665)
Staff furlough income	(37)	(1,447)

7. Employees

Staff costs, including directors' remuneration, were as follows:

	2022 £000	2021 £000
Wages and salaries	19,828	18,567
Social security costs	2,289	2,043
Cost of defined contribution scheme	199	225
	22,316	20,835

The average monthly number of employees, including the directors, during the year was as follows:

	2022 No.	2021 No.
Football team management	38	40
Administration and ground staff	50	49
Players (including Academy)	67	53
	155	142

In addition, the company employs, on average, a further 54 (2021 - 56) temporary staff on match days.

8. Directors' remuneration

	2022 £000	2021 £000
Directors' emoluments	404	365
Company contributions to defined contribution pension schemes	12	12
	416	377

Payments to money purchase pension schemes were made in respect of 1 director (2021 - 1). The remuneration of the highest paid director was £416,000 (2021 - £377,000) including £12,000 (2021 - £12,000) of pension contributions.

The company's key management personnel are considered to be its directors.

9. Taxation

	2022 £000	2021 £000
Corporation tax		
Current tax on losses for the year	-	-
Total current tax	-	-
Taxation on loss on ordinary activities	-	-

9. Taxation (continued)

Factors affecting tax charge for the year

The tax assessed for the year is differs from the standard rate of corporation tax in the UK of 19% (2021 - 19%). The differences are explained below:

	2022 £000	2021 £000
Loss on ordinary activities before tax	**(11,851)**	(12,994)
Loss on ordinary activities multiplied by standard rate of corporation tax in the UK of 25% (2021 - 19%)	**(2,252)**	(2,469)
Effects of:		
Expenses and income not deductible or taxable for tax purposes	**155**	63
Unutilised losses carried forward	**2,097**	2,446
Adjustment to tax charge in respect to previous periods	**-**	(40)
Total tax charge for the year	**-**	-

A deferred taxation asset has not been recognised in respect of trading tax losses totalling £112.2m (2021 - £100.7m) given the inherent uncertainty of future profits. The unprovided deferred tax asset is calculated at £28.0m (2021 - £19.1m).

A deferred taxation asset has not been recognised in respect of unclaimed capital allowances totalling £11.9m (2021 - £6.1m) given the inherent uncertainty of future profits. The unprovided deferred tax asset is calculated at £3.0m (2021 - £1.5m).

The substantively enacted tax rate remained at 19% as at the statement of financial position date of 30 June 2022.

The Government included the above changes in the Finance Bill 2021 that had its third reading on 24 May 2021 and is now considered substantively enacted.

Factors affecting future tax charge

The substantively enacted tax rate remained at 19% as at the Balance Sheet date of 30 June 2022.

It was announced on 3 March 2021 that the main rate of corporation tax will increase from 19% to 25% from 1 April 2023. For profits up to £50,000, the corporation tax rate will remain at 19% and for profits over £250,000, the corporation tax rate will be 25%. Marginal relief provisions will also be introduced for profits between the lower and upper limits.

The Government included the above changes in the Finance Bill 2021 that had its third reading on 24 May 2021 and is now considered substantively enacted. If the unwinding of the deferred tax asset occurs during or after the tax year commending 1 April 2023, they will unwind based on the above new rates.

10. Intangible assets

	Players' registrations £000
Cost	
At 1 July 2021	**7,500**
Additions	**1,788**
Disposals	**(1,606)**
At 30 June 2022	**7,682**
Amortisation	
At 1 July 2021	**5,171**
Charge for the year	**1,771**
On disposals	**(1,385)**
At 30 June 2022	**5,557**
Net book value	
At 30 June 2022	**2,125**
At 30 June 2021	2,329

11. Tangible fixed assets

	Long leasehold premises £000	Fixtures, fittings and equipment £000	Leasehold Improvements £000	Motor vehicles £000	Total £000
Cost or valuation					
At 1 July 2021	**18,694**	**5,644**	**319**	**42**	**24,699**
Additions	**1,434**	**124**	**-**	**-**	**1,558**
At 30 June 2022	**20,128**	**5,768**	**319**	**42**	**26,257**
Depreciation					
At 1 July 2021	**4,958**	**4,519**	**140**	**42**	**9,659**
Charge for the year	**294**	**215**	**37**	**-**	**546**
At 30 June 2022	**5,252**	**4,734**	**177**	**42**	**10,205**
Net book value					
At 30 June 2022	**14,876**	**1,034**	**142**	**-**	**16,052**
At 30 June 2021	13,736	1,125	179	-	15,040

The amounts classified as long leasehold premises represent costs associated with the building of football stadium at The Den and the new training ground.

The net carrying value of assets held under finance lease is £219,573 (2021 - £256,115).

12. Stocks

	2022 £000	2021 £000
Finished goods and goods for resale	**47**	80

Goods for resale include an amount of £47,000 (2021 - £80,000) carried at a fair value less costs to sell.

13. Debtors: amounts falling due within one year

	2022 £000	2021 £000
Trade debtors	**1,190**	1,099
Transfer fees receivable	**130**	163
Other debtors	**50**	188
Prepayments and accrued income	**447**	677
	1,817	2,127

14. Creditors: amounts falling due within one year

	2022 £000	2021 £000
Other loans	**2,973**	3,069
Trade creditors	**1,709**	1,601
Taxation and social security	**1,157**	821
Amounts relating to cumulative redeemable preference shares	**55**	55
Other creditors	**78**	113
Accruals and deferred income	**3,790**	3,947
Amounts owed to immediate parent company	**121,659**	108,719
	131,421	118,325

Included within accruals and deferred income is an amount of £2,305,000 (2021 - £2,636,000) in relation to amounts received in advance, in respect of season tickets, league awards, executive boxes, membership, advertising and sponsorship relating to the following year.

Under their terms, the 5% cumulative redeemable preference shares of £1 each should have been redeemed by 4 March 1998, but the holders have not taken up their rights of redemption. The preference shares carry no voting rights and on a winding up are entitled to a repayment of the amount paid up plus any dividends due.

The preference shareholders have waived their entitlement to their dividends in respect of the year under review together with the arrears of the preference dividends.

The amount due to the immediate parent company is interest free, unsecured and has no fixed terms of repayment. Net drawdowns totaling £12,940,000 (2021 - £7,742,000) were made during the year.

15. Creditors: amounts falling due after more than one year

	2022 £000	2021 £000
Other loans	**2,970**	4,804
Other creditors	**365**	250
Accruals	**212**	294
Deferred income - see note 16	**1,680**	1,824
	5,227	7,172

16. Deferred income

	2022 £000	2021 £000
Grants received in respect of the long leasehold premises and other fixtures and fittings (a further £81,000 is included within current liabilities - deferred income)	**1,555**	1,636
Unamortised proceeds from the sale of the Training Ground in excess of market value which is being amortised on a straight line basis over 20 years to 2025 (a further £61,000 is included within current liabilities - deferred income)	**125**	188
	1,680	1,824

17. Loans

Analysis of the maturity of loans is given below:

	2022 £000	2021 £000
Amounts falling due within one year		
Other loans	**2,973**	3,069
Amounts falling due within 2 to 5 years		
Other loans	**2,970**	4,804
	5,943	7,873

18. Financial instruments

	2022 £000	2021 £000
Financial assets		
Financial assets measured at amortised cost	**1,478**	2,585
Financial liabilities		
Financial liabilities measured at amortised cost	**9,792**	14,078

Financial assets measured at amortised cost comprise trade debtors, transfer fees receivable, and cash and cash equivalents.

Financial liabilities measured at amortised cost comprise trade and other creditors, other loans payable and accruals.

19. Share capital

	2022 £000	2021 £000
Allotted, called up and fully paid		
400,000 ordinary shares of £1 each	**400**	400

20. Reserves

The company's capital and reserves are as follows:

Called up share capital

Called up share capital represents the nominal value of the shares issued.

Profit and loss account

The profit and loss account represents cumulative profits or losses, net of dividends paid and other adjustments.

21. Financial commitments

(a) *Non-cancelable operating leases*

Commitments under non-cancelable operating leases are as follows;

	Land and Buildings 2022 £000	Other 2022 £000	Total 2022 £000	Land and Buildings 2021 £000	Other 2021 £000	Total 2021 £000
Minimum lease payments due:						
Within one year	**368**	**48**	**416**	**368**	**20**	**388**
In two to five years	**1,094**	**48**	**1,142**	**1,413**	**-**	**1,413**
After five years	**1,314**	**-**	**1,314**	**1,362**	**-**	**1,362**
	2,776	**96**	**2,872**	**3,143**	**20**	**3,163**

(b) Finance lease

In the prior year, the club has entered into agreements to lease a number of assets. Such assets are generally classified as finance leases as the rental period amounts to the estimated useful economic life of the assets concerned and often the club has the right to purchase the assets outright at the end of the minimum lease term by paying a nominal amount.

Future lease payments are due as follows;

	Minimum Lease Payments 2022 £000	Interest 2022 £000	Present Value 2022 £000	Minimum Lease Payments 2021 £000	Interest 2021 £000	Present Value 2021 £000
Minimum lease payments due:						
Within one year	**-**	**-**	**-**	**7**	**1**	**6**
In two to five years	**-**	**-**	**-**	**-**	**-**	**-**
After five years	**-**	**-**	**-**	**-**	**-**	**-**
	-	**-**	**-**	**7**	**1**	**6**

21. Financial commitments (continued)

(c) Pensions

The Club participates in the Football League Pension and Life Assurance Scheme ('the Scheme'). The Scheme is a funded multi-employer defined benefit scheme, with 92 participating employers, and where members may have periods of service attributable to several participating employers. The Club is unable to identify its share of the assets and liabilities of the Scheme and therefore accounts for its contributions as if they were paid to a defined contribution scheme.

The Club is making scheme funding payment based on the actuarial valuation carried out on 31 August 2018. The key assumptions used to calculate the deficit at the 31 August 2018 actuarial valuation were:

Discount Rate	3.6% p.a. until 2022, 2.5% p.a. for the following 10 years and 1.5% p.a. thereafter.
RPI inflation:	3.3% p.a.
Pension Increases:	3.7% p.a.
Mortality (pre-retirement):	None
Mortality (post-retirement):	SAPS S2PMA / S2PFA CMI_2016 1.5%

The Club pays monthly contributions based on a notional split of the total expenses and deficit contributions of the Scheme.

The results of this actuarial valuation when the Club recognised its notional share of the deficit, calculated using the actuarial valuation assumptions, resulted in a liability of £364,632 (2021 - £364,632). Since 2017 the club has been paying against this deficit in line with scheduled contributions. This resulted in a charge of £Nil (2021 - £Nil) being made to profit and loss in the current year.

The Club currently has 1 employee who is a member of the scheme (2021: 1) and pays total contributions of £49,575 p.a. which increases at 5.0% p.a. Based on the actuarial valuation assumptions detailed above, these contributions will be sufficient to pay off the Club's share of the deficit by 31 May 2026.

Under the terms and conditions of the multi-employer plan the entity cannot be liable to the plan for other entities' obligations.

Certain other employees of the Group, except for football players who are responsible for their own pension arrangements, are eligible to be members of defined contribution schemes. The assets of any schemes are held in funds separate from the Group.

(d) Transfer fees payable/receivable

Under the terms of certain contracts with other football clubs in respect of player transfers, additional amounts would be receivable/payable by the Group if conditions as to future team selection are met. The maximum that could be receivable is £750,000 (2021 - £280,000). The maximum that could be payable is £3,025,000 (2021 - £4,101,000). These amounts have not been provided for in the financial statements. These amounts do not include various payments or receipts that are determinable only on circumstances which are distant or outside the direct control of the parties to the contract and the player in question.

22. Related party transactions

The company has taken advantage of the exemption in FRS 102 not to disclose transactions with wholly owned entities within the group of which it is a member.

23. Post balance sheet events

Following a shareholder general meeting on 23 June 2022, the shareholders approved the resolution to re-register the Company as a private limited company. The Company name was changed to The Millwall Football and Athletic Company (1985) Limited, and new articles of association were agreed at that time.

24. Controlling party

Millwall Holdings Limited (formerly Millwall Holdings PLC) is the immediate parent undertaking of the company and the parent of the only group to prepare consolidated financial statements which include the results of the company. Copies of those Group accounts have been delivered to, and are available from, the Registrar of Companies Registration Office, Crown Way, Cardiff CF4 3UZ.

Millwall Holdings Limited is under the control of Chestnut Hill Ventures LLC, a company which is incorporated in the USA. Chestnut Hill Ventures LLC is ultimately controlled jointly by J G Berylson and R A Smith, as Trustee of the Philip dec'd Will Trust.